

Monthly — July 16, 2026

U.S. Economic Outlook: July 2026

Key Themes

- **The U.S. economy remains resilient but is unlikely to accelerate in the second half of the year.** AI-related capex shows few signs of slowing, but its direct boost to growth continues to be partially offset by the surge in tech imports. The AI buildout has been indirectly supporting consumer spending through stronger household balance sheets, but consumption growth is unlikely to pick up meaningfully in the near term as support from tax refunds fade, real income growth remains soft, and the saving rate sits at a multi-year low. We look for real U.S. GDP to advance at a 2.1% annualized rate in the second half of 2026, broadly in line with the 2.2% year-over-year rate we estimate was registered through Q2.
- **The labor market is stable, not heating up.** The June employment report revealed a cooler pace of job growth, with the three-month average pace of payrolls downshifting to 111K from 188K previously. And while the unemployment rate edged down last month, it stemmed from more workers leaving the labor force. We look for the jobs market to remain roughly in balance through the second half of the year, with unemployment hovering near its current rate of 4.2%.
- **Inflation remains the rub, although June data buys the Fed more time to assess the outlook.** At 3.4%, the year-over-year rate of core PCE is at a two-and-a-half-year high. The pickup primarily reflects tariffs, the knock-on effects of higher oil prices, and surging demand for tech-related goods—the latter of which Fed officials seem to have a harder time looking through. But, the upturn in inflation showed hints of leveling off in June. The latest CPI and PPI data point to core PCE rising just 0.2% in June, which would be the smallest monthly gain this year and would push the 12-month change down to 3.3%.
- **The Fed has turned more hawkish.** While we do not believe monetary policy is well-equipped to rein in the factors currently driving inflation higher, patience for returning inflation to 2% is clearly wearing thin at the Fed. Chair Warsh has been careful not to signal where he thinks policy is headed in the coming months. Yet, June's evenly-divided dot plot, the latest meeting minutes, and recent comments from Committee bellwethers John Williams and Chris Waller suggest the bar for hiking rates is lower than it was a few months ago.
- **Our base case remains for the FOMC to stay on hold this year, but the potential for hikes is high.** With the tariff shock fading and services inflation continuing to slow, we expect inflation to make some directional, if modest, progress in the second half of the year. We estimate core PCE will edge down to 3.2% on a Q4/Q4 basis, which would be consistent with prices rising a little less than a 3% annualized rate in the second half of the year. That said, renewed hostilities in the Middle East, unrelenting demand for all things AI, and an increasingly impatient FOMC create the risk that the Committee engages in a modest tightening cycle in the months ahead. With the FOMC already on the fence between holding and hiking, even a small upward adjustment to the inflation outlook would likely lead the FOMC to reverse some of last year's cuts.

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U.S. Forecast Table

Wells Fargo U.S. Economic Forecast																				
	Actual								Forecast								Actual		Forecast	
	2024				2025				2026				2027				2024	2025	2026	2027
	1Q	2Q	3Q	4Q	1Q	2Q	3Q	4Q	1Q	2Q	3Q	4Q	1Q	2Q	3Q	4Q				
Real Gross Domestic Product (a)	0.8	3.6	3.3	1.8	-0.6	3.8	4.4	0.5	2.1	1.8	2.6	1.6	2.2	2.5	2.4	2.4	2.8	2.1	2.2	2.2
Personal Consumption	1.7	3.9	4.0	3.9	0.6	2.5	3.5	1.9	0.5	2.2	2.4	2.3	1.8	2.2	2.3	2.0	2.9	2.6	1.9	2.1
Business Fixed Investment	1.5	2.5	3.5	-3.7	9.5	7.3	3.2	2.4	10.6	9.2	4.4	4.3	5.2	6.2	4.7	5.2	2.9	4.1	6.4	5.3
Equipment	0.5	8.9	8.2	-4.3	21.4	8.5	4.3	4.3	15.8	14.8	5.9	4.9	4.5	6.0	5.0	4.0	3.5	8.3	9.7	5.7
Intellectual Property Products	6.7	0.7	2.6	-0.6	6.5	15.0	5.6	5.4	13.8	7.8	5.1	4.5	6.4	7.1	4.5	6.5	3.5	5.6	8.4	5.9
Structures	-5.0	-3.9	-2.2	-8.1	-3.1	-7.5	-5.0	-6.5	-4.7	-3.3	-1.1	2.2	3.3	4.2	4.3	4.7	1.1	-5.3	-4.1	2.5
Residential Investment	8.2	-2.0	-4.8	4.3	-1.0	-5.1	-7.1	-1.7	-7.8	-3.2	-1.8	2.7	3.6	4.0	4.4	4.9	3.2	-2.2	-4.2	2.6
Government Purchases	2.3	3.3	5.4	3.3	-1.0	-0.1	2.2	-5.6	4.4	2.1	0.8	0.8	1.2	1.0	1.1	1.1	3.8	1.1	0.8	1.1
Net Exports	-964.1	-1032.2	-1064.9	-1069.0	-1380.7	-1058.0	-955.5	-968.7	-1001.8	-1071.6	-1120.7	-1140.9	-1161.3	-1181.1	-1200.9	-1217.2	-1032.6	-1090.7	-1083.8	-1190.1
Pct. Point Contribution to GDP	-0.4	-1.0	-0.4	-0.1	-4.7	4.8	1.6	-0.2	-0.4	-1.1	-0.8	-0.3	-0.3	-0.3	-0.3	-0.3	-0.5	-0.2	0.0	-0.4
Inventory Change	12.4	75.1	69.4	17.1	172.0	-18.3	-23.9	-15.6	-16.7	-14.3	44.2	8.4	17.5	18.2	23.4	30.5	43.5	28.5	5.4	22.4
Pct. Point Contribution to GDP	-0.8	1.2	-0.1	-0.9	2.6	-3.4	-0.1	0.1	0.2	0.0	1.0	-0.6	0.1	0.0	0.1	0.1	0.0	-0.1	-0.1	0.1
Nominal GDP (a)	4.0	6.3	5.1	4.3	2.9	6.0	8.3	4.2	5.8	7.1	4.4	3.9	4.6	4.5	4.5	4.8	5.3	5.0	5.8	4.6
Real Final Sales	1.7	2.4	3.5	2.8	-3.2	7.5	4.5	0.3	1.9	1.8	1.6	2.1	2.0	2.5	2.3	2.3	2.8	2.2	2.3	2.2
Retail Sales (b)	1.8	2.5	2.3	3.9	4.5	4.1	4.4	3.0	3.9	6.4	5.8	6.0	5.0	2.5	1.9	1.7	2.6	4.0	5.5	2.7
Inflation Indicators (b)																				
PCE Deflator	2.8	2.7	2.4	2.6	2.6	2.4	2.7	2.8	3.1	3.9	3.6	3.5	2.9	2.1	2.2	2.2	2.6	2.6	3.5	2.3
"Core" PCE Deflator	3.1	2.8	2.8	3.0	2.8	2.7	2.9	2.9	3.1	3.4	3.3	3.2	2.8	2.5	2.4	2.4	2.9	2.8	3.3	2.5
Consumer Price Index	3.2	3.2	2.7	2.7	2.7	2.5	2.9	2.7	2.7	3.8	3.1	3.1	2.7	1.6	2.0	2.0	3.0	2.7	3.2	2.1
"Core" Consumer Price Index	3.8	3.4	3.3	3.3	3.1	2.8	3.1	2.6	2.5	2.7	2.4	2.4	2.3	2.2	2.3	2.3	3.4	2.9	2.5	2.3
Producer Price Index (Final Demand)	1.5	2.6	2.2	3.1	3.4	2.5	3.0	3.0	3.6	5.7	5.1	4.7	3.9	2.5	2.6	2.6	2.4	3.0	4.8	2.9
Employment Cost Index	4.2	4.1	3.9	3.8	3.6	3.6	3.5	3.4	3.4	3.3	3.4	3.4	3.4	3.4	3.4	3.5	4.0	3.5	3.4	3.4
Real Disposable Income (a)	4.2	2.4	1.2	2.0	2.3	1.8	1.0	-0.9	0.9	-1.7	3.0	2.4	4.4	2.2	2.0	2.1	2.9	1.7	0.5	2.6
Nominal Personal Income (a)	7.6	5.4	3.6	4.9	6.4	4.3	4.4	2.4	3.4	3.7	4.9	4.8	5.0	4.1	4.0	4.5	5.6	4.8	3.7	4.5
Industrial Production (a)	-2.6	2.7	-2.3	-1.5	4.2	1.8	2.1	-1.9	1.3	4.6	2.9	2.3	1.1	1.0	1.1	0.5	-0.7	1.1	1.7	1.7
Capacity Utilization	76.3	76.6	76.0	75.5	76.0	76.1	76.2	75.6	75.6	76.2	76.9	77.4	77.7	78.0	78.3	78.6	76.1	75.9	76.5	78.2
Federal Budget Balance (c)	-555	-209	-544	-711	-596	-30	-438	-602	-566	-198	-608	-607	-732	-185	-476	-649	-1817	-1775	-1975	-2000
Nonfarm Payroll Change (d)	203	76	72	135	20	34	23	-39	73	111	74	88	77	64	62	58	122	10	86	66
Unemployment Rate	3.8	4.0	4.2	4.1	4.1	4.2	4.3	4.5	4.3	4.3	4.2	4.2	4.2	4.1	4.1	4.1	4.0	4.3	4.3	4.1
Light Vehicle Sales (e)	15.5	15.7	15.7	16.4	16.4	16.2	16.6	15.7	15.5	16.3	16.0	15.9	16.4	16.6	16.7	16.9	15.9	16.2	15.9	16.7
Crude Oil - Brent - Front Contract (h)	81.2	84.4	78.0	73.6	74.3	65.9	67.5	62.7	76.3	93.1	81.0	78.7	77.7	76.3	74.7	73.0	79.3	67.6	82.3	75.4
Housing Starts (e)	1.4	1.3	1.3	1.4	1.4	1.4	1.3	1.3	1.4	1.3	1.3	1.3	1.3	1.3	1.4	1.4	1.4	1.4	1.3	1.3
New Home Sales, Single-Family (f)	672.3	686.3	711.3	667.7	654.0	662.7	686.7	710.7	623.3	607.0	618.7	629.2	636.1	645.6	656.0	668.4	684.4	678.5	619.5	651.5
Total Existing Home Sales (e)	4.1	4.0	4.0	4.1	4.1	4.0	4.0	4.2	4.1	4.1	4.2	4.2	4.3	4.3	4.4	4.4	4.1	4.1	4.1	4.3
S&P Case-Shiller National Home Price Index (b)	6.4	6.0	4.4	3.8	3.9	2.4	1.5	1.3	0.8	0.2	0.4	0.5	0.6	0.7	0.7	0.9	5.1	2.2	1.5	2.3
Quarter-End Interest Rates (i)																				
Federal Funds Target Rate (j)	5.50	5.50	5.00	4.50	4.50	4.50	4.25	3.75	3.75	3.75	3.75	3.75	3.75	3.75	3.75	3.75	5.27	4.33	3.75	3.75
Secured Overnight Financing Rate	5.34	5.33	4.96	4.49	4.41	4.45	4.24	3.87	3.68	3.68	3.65	3.65	3.65	3.65	3.65	3.65	5.15	4.24	3.67	3.65
Prime Rate	8.50	8.50	8.00	7.50	7.50	7.50	7.25	6.75	6.75	6.75	6.75	6.75	6.75	6.75	6.75	6.75	8.27	7.33	6.75	6.75
Conventional Mortgage Rate	6.82	6.92	6.18	6.72	6.65	6.82	6.35	6.20	6.18	6.49	6.40	6.30	6.30	6.20	6.20	6.20	6.72	6.60	6.34	6.23
3 Month Bill	5.46	5.48	4.73	4.37	4.32	4.41	4.02	3.67	3.70	3.87	3.65	3.65	3.65	3.65	3.65	3.65	5.18	4.21	3.72	3.65
6 Month Bill	5.38	5.33	4.38	4.24	4.23	4.29	3.83	3.59	3.72	4.01	3.80	3.70	3.70	3.70	3.70	3.70	5.00	4.09	3.81	3.70
1 Year Bill	5.03	5.09	3.98	4.16	4.03	3.96	3.68	3.48	3.68	3.98	3.85	3.75	3.75	3.75	3.75	3.70	4.69	3.91	3.82	3.74
2 Year Note	4.59	4.71	3.66	4.25	3.89	3.72	3.60	3.47	3.79	4.14	4.00	3.90	3.90	3.85	3.85	3.80	4.37	3.81	3.96	3.85
5 Year Note	4.21	4.33	3.58	4.38	3.96	3.79	3.74	3.73	3.92	4.19	4.10	4.00	4.00	3.95	3.95	3.95	4.13	3.92	4.05	3.96
10 Year Note	4.20	4.36	3.81	4.58	4.23	4.24	4.16	4.18	4.30	4.44	4.40	4.35	4.35	4.30	4.30	4.30	4.21	4.29	4.37	4.31
30 Year Bond	4.34	4.51	4.14	4.78	4.59	4.78	4.73	4.84	4.88	4.91	4.90	4.85	4.90	4.90	4.95	4.95	4.41	4.78	4.89	4.93
Forecast as of: July 16, 2026																				
Notes: (a) Compound Annual Growth Rate Quarter-over-Quarter																				
(b) Year-over-Year Percentage Change																				
(c) Quarterly Sum - Billions USD; Annual Data Represents Fiscal Year																				
(d) Average Monthly Change, Thousands																				
(e) Quarterly Data - Average Monthly SAAR, Millions; Annual Data - Actual Annual Total, Millions																				
(f) Quarterly Data - Average Monthly SAAR, Thousands; Annual Data - Actual Annual Total, Thousands																				
(g) Quarterly Data - Average Monthly SAAR, Millions; Annual Data - Actual Total Vehicles Sold, Millions																				
(h) Quarterly Average of Daily Close, USD																				
(i) Quarterly Data - Period End; Annual Data - Annual Averages																				
(j) Upper Bound of the Federal Funds Target Range																				

Source: U.S. Department of Commerce, U.S. Department of Labor, IHS Markit, Federal Reserve Board and Wells Fargo Economics

Forecast Delta Table

Changes to the Wells Fargo U.S. Economic Forecast																				
	Actual								Forecast								Actual		Forecast	
	2024				2025				2026				2027				2024	2025	2026	2027
	1Q	2Q	3Q	4Q	1Q	2Q	3Q	4Q	1Q	2Q	3Q	4Q	1Q	2Q	3Q	4Q				
Real Gross Domestic Product (a)	0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.47	-0.72	1.09	-0.84	0.01	0.00	-0.01	0.00	0.00	0.00	0.06	-0.07
Personal Consumption	0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.00	-0.86	0.16	0.40	0.00	0.00	0.00	-0.01	0.00	0.00	0.00	-0.14	0.06
Business Fixed Investment	0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.51	-0.15	-0.02	-0.01	0.00	0.00	0.00	0.00	0.00	0.00	0.09	-0.01
Equipment	0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.00	-1.38	-0.33	-0.03	-0.02	0.00	0.00	-0.01	0.00	0.00	0.00	-0.39	-0.03
Intellectual Property Products	0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.00	2.16	-0.14	-0.01	-0.01	0.00	0.00	0.00	0.00	0.00	0.00	0.49	-0.01
Structures	0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.72	0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.18	0.00
Residential Investment	0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.00	-1.58	1.90	0.30	-0.10	0.10	-0.10	-0.10	0.10	0.00	0.00	-0.02	0.15
Government Purchases	0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.08	-0.55	0.38	0.00	0.00	0.00	0.00	0.00	0.00	0.00	-0.04	0.01
Net Exports	0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.00	61.95	37.49	5.24	9.64	9.81	9.96	10.11	10.24	0.00	0.00	28.58	10.03
Pct. Point Contribution to GDP	0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.88	-0.40	-0.53	0.07	0.00	0.00	0.00	0.00	0.00	0.00	0.12	-0.08
Inventory Change	0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.00	8.97	-22.72	55.19	0.00	0.00	0.00	0.00	0.00	0.00	0.00	10.36	0.00
Pct. Point Contribution to GDP	0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.15	-0.53	1.29	-0.90	0.00	0.00	0.00	0.00	0.00	0.00	0.04	-0.04
Nominal GDP (a)	0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.61	-0.94	0.32	-0.94	-0.02	-0.08	-0.10	0.05	0.00	0.00	-0.04	-0.22
Real Final Sales	0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.31	-0.20	-0.20	0.06	0.01	0.00	-0.01	0.00	0.00	0.00	0.02	-0.02
Retail Sales (b)	0.00	0.00	0.00	0.00	0.00	-0.19	0.00	0.00	0.03	0.74	0.74	0.74	0.71	0.19	0.00	0.00	0.00	-0.05	0.57	0.22
Inflation Indicators (b)																				
PCE Deflator	0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.02	-0.03	-0.22	-0.24	-0.26	-0.24	-0.07	-0.04	0.00	0.00	-0.12	-0.15
"Core" PCE Deflator	0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.02	0.00	-0.02	0.00	0.00	0.03	0.05	0.03	0.00	0.00	0.00	0.03
Consumer Price Index	0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.00	-0.13	-0.57	-0.66	-0.65	-0.47	-0.04	0.06	0.00	0.00	-0.34	-0.27
"Core" Consumer Price Index	0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.00	-0.08	-0.27	-0.29	-0.26	-0.14	0.08	0.11	0.00	0.00	-0.16	-0.05
Producer Price Index (Final Demand)	0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.00	-0.48	-0.80	-0.73	-0.75	-0.28	0.04	-0.03	0.00	0.00	-0.51	-0.25
Employment Cost Index	0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.00
Real Disposable Income (a)	0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.12	1.01	1.11	0.07	-0.05	0.07	0.09	-0.05	0.00	0.00	0.37	0.23
Nominal Personal Income (a)	0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.17	0.81	0.38	-0.01	-0.01	0.00	0.00	-0.01	0.00	0.00	0.24	0.09
Industrial Production (a)	0.00	0.00	0.00	0.00	0.00	0.00	-0.03	0.00	-0.87	0.66	-0.72	-0.42	-0.57	-0.04	0.00	0.00	0.00	0.00	-0.22	-0.28
Capacity Utilization	0.00	0.00	0.00	0.00	0.00	0.00	-0.01	0.00	-0.17	-0.12	-0.28	-0.36	-0.47	-0.48	-0.48	-0.48	0.00	0.00	-0.23	-0.48
Federal Budget Balance (c)	0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.00	21.73	-46.73	39.61	-30.70	-8.91	0.00	0.02	0.00	0.00	-25.00	0.00
Nonfarm Payroll Change (d)	0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.00	-39.67	1.33	-1.67	0.00	0.00	0.00	0.00	0.00	0.00	-10.00	0.00
Unemployment Rate	0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.00	-0.03	-0.07	-0.06	-0.06	-0.06	-0.06	-0.07	0.00	0.00	-0.04	-0.07
Light Vehicle Sales (g)	0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.05	0.27	0.20	0.10	0.03	0.00	0.00	0.00	0.00	0.00	0.15	0.01
Crude Oil - Brent - Front Contract (h)	0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.00	-7.95	-13.67	-10.33	-6.33	-5.70	-5.83	-5.67	0.00	0.00	-7.99	-5.88
Housing Starts (e)	0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.01	-0.01	0.03	0.02	-0.06	-0.03	0.00	0.04	0.00	0.00	0.01	-0.01
New Home Sales, Single-Family (f)	0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.00	-3.33	-56.01	-58.27	-57.91	-58.55	-63.59	-64.61	-65.84	0.00	0.00	-43.88	-63.15
Total Existing Home Sales (e)	0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.00	-0.02	-0.07	-0.04	-0.01	0.02	0.01	0.00	0.00	-0.02	-0.01
S&P Case-Shiller National Home Price Index (b)	0.00	0.00	0.00	0.00	0.00	0.00	0.01	0.01	0.06	-0.30	-0.40	-0.20	-0.10	-0.20	-0.40	-0.30	0.00	0.00	-0.40	-1.00
Quarter-End Interest Rates (i)																				
Federal Funds Target Rate (j)	0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.50	0.50	0.50	0.50	0.50	0.00	0.00	0.13	0.50
Secured Overnight Financing Rate	0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.03	0.00	0.50	0.50	0.50	0.50	0.50	0.00	0.00	0.13	0.50
Prime Rate	0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.50	0.50	0.50	0.50	0.50	0.00	0.00	0.13	0.50
Conventional Mortgage Rate	0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.04	0.20	0.10	0.10	0.00	0.00	0.00	0.00	0.00	0.09	0.03
3 Month Bill	0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.22	0.15	0.50	0.50	0.50	0.50	0.50	0.00	0.00	0.22	0.50
6 Month Bill	0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.31	0.40	0.50	0.50	0.50	0.50	0.45	0.00	0.00	0.30	0.49
1 Year Bill	0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.33	0.45	0.45	0.45	0.45	0.40	0.30	0.00	0.00	0.31	0.40
2 Year Note	0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.24	0.50	0.50	0.50	0.40	0.35	0.25	0.00	0.00	0.31	0.38
5 Year Note	0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.19	0.40	0.35	0.30	0.20	0.15	0.15	0.00	0.00	0.24	0.20
10 Year Note	0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.04	0.20	0.10	0.10	0.00	0.00	0.00	0.00	0.00	0.09	0.02
30 Year Bond	0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.00	-0.04	0.05	-0.05	-0.05	-0.10	-0.05	-0.05	0.00	0.00	-0.01	-0.06
Forecast as of: July 16, 2026																				
Notes: (a) Compound Annual Growth Rate Quarter-over-Quarter																				
(b) Year-over-Year Percentage Change																				
(c) Quarterly Sum - Billions USD; Annual Data Represents Fiscal Year																				
(d) Average Monthly Change, Thousands																				
(e) Quarterly Data - Average Monthly SAAR, Millions; Annual Data - Actual Total Houses Started, Millions																				
(f) Quarterly Data - Average Monthly SAAR, Thousands; Annual Data - Actual Total Houses Started, Thousands																				
(g) Quarterly Data - Average Monthly SAAR, Millions; Annual Data - Actual Total Vehicles Sold, Millions																				
(h) Quarterly Average of Daily Close, USD																				
(i) Quarterly Data - Period End; Annual Data - Annual Averages																				
(j) Upper Bound of the Federal Funds Target Range																				

Source: U.S. Department of Commerce, U.S. Department of Labor, IHS Markit, Federal Reserve Board and Wells Fargo Economics

Sector Analysis

Personal Consumption Expenditures (PCE)

- The consumer is still in the game, but with a thin savings buffer and soft income growth, real PCE growth this year looks to have a top speed in the neighborhood of just 2.5%.

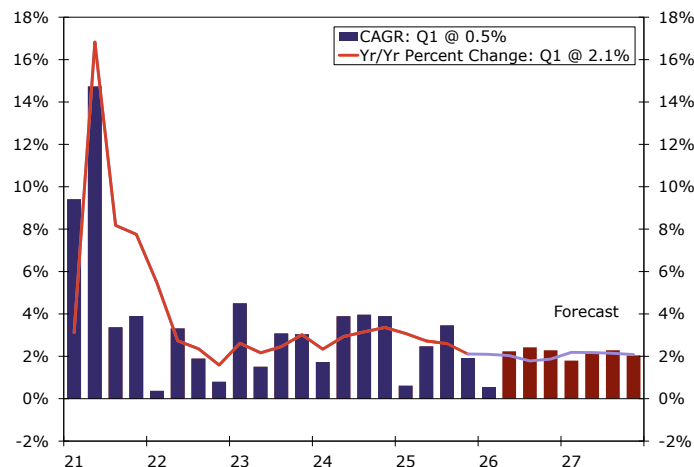
The latest personal income and spending report offered some relief on the health of the consumer. Both spending and income rose in May, marking a clear improvement from the prior month. After factoring in revisions, the saving rate remains low but looks less dire than it did a month ago. It's still sitting near the low end of the range for the past 20 years, suggesting consumer resilience is on shaky footing. This is also evident in spending data, where consumers are making tough choices in recent months by slowing discretionary spending to stay within budget. On the goods side, retail sales were better than expected in June aside from a price-related decline at gas stations. Core sales posted a respectable gain in June and are now tracking at a roughly 5.5% annualized pace for Q2. On the income side, the picture remains soft: real disposable income retraced some of April's drop in May, but has declined at a 0.4% annualized rate the past three months. We expect real spending to come in at 2.2% in Q2 and sustain a roughly 2-2.5% pace this year, with downside risk if income growth fails to stabilize.

Investment: Equipment, Intellectual Property Products, and Inventories

- The AI buildout is still the main factor driving business spending, but in the shadow of that larger dynamic, the incipient rebound in broader capex remains intact.

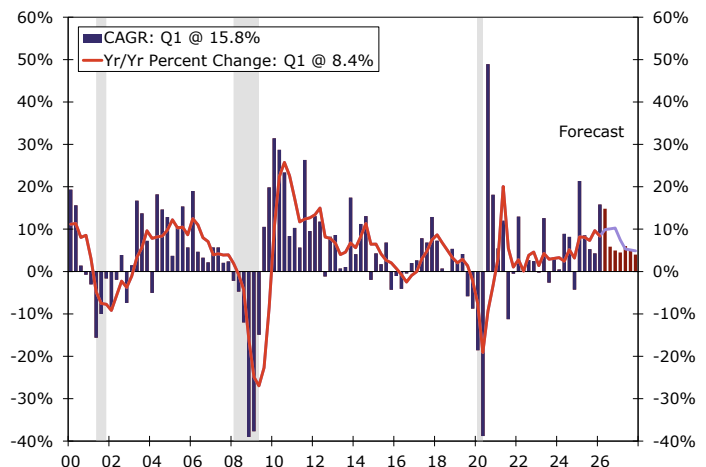
Investment spending is on track to deliver another surge in software and tech-related equipment in Q2 and another outsized contribution to overall GDP growth as firms continue to prioritize the AI buildout. Activity is also continuing to broaden across manufacturing, with the ISM manufacturing index sitting near a 4-four-year high and durable goods orders firming across most industries (a headline decline in May durables was almost entirely a function of a pullback in civilian aircraft orders). Renewed conflict in Iran means cost uncertainty is not going away, but momentum in equipment spending remains intact.

Real Personal Consumption Expenditures



Source: U.S. Department of Commerce and Wells Fargo Economics

Real Equipment Investment



Source: U.S. Department of Commerce and Wells Fargo Economics

Investment: Residential

- We have not made major changes to our outlook for residential investment. Residential spending is poised for further near-term weakness, largely due to a reduced pace of new construction.

Residential investment looks set to remain on a downward trajectory this year. With mortgage rates stuck around 6.5% and new for-sale inventory continuing to climb, builders appear to be scaling back new home construction. Builder incentives will continue as a support for sales. However, we expect mortgage rates to decline only modestly over the next several quarters, keeping the affordability constraint in place. Similarly, we look for elevated financing costs to remain a limitation for existing home sales, though low resale supply should continue to keep a floor under existing home

prices. Meanwhile, although challenging affordability looks set to boost rental demand, multifamily construction will likely remain under pressure amid elevated materials costs, high capital costs and soft apartment market conditions.

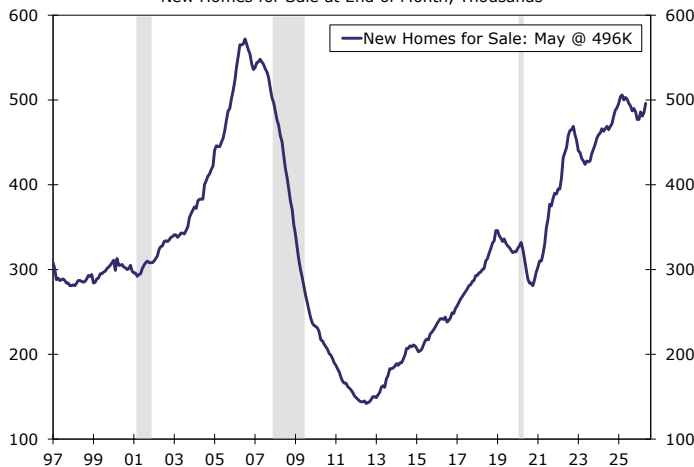
Investment: Nonresidential Structures

- Nonresidential structures investment continues to taper under high interest rates. We expect elevated costs and a reduced pace of groundbreakings to suppress spending during the next few quarters.

Structures investment remains weak. While spending on data centers and power structures is resilient, the ongoing decline in manufacturing, office, warehousing and other commercial construction is the larger force at present. Furthermore, higher interest rates and materials costs appear to be keeping a lid on new project starts, which will preclude a meaningful rise in construction this year. Higher oil prices have sparked a modest uptick in active rotary rigs over the past several months, indicating incremental growth in energy-related structures investment is ahead. That said, expectations for lower oil prices over the next several years suggests a significant break-out in activity is unlikely.

Inventory of New Homes for Sale

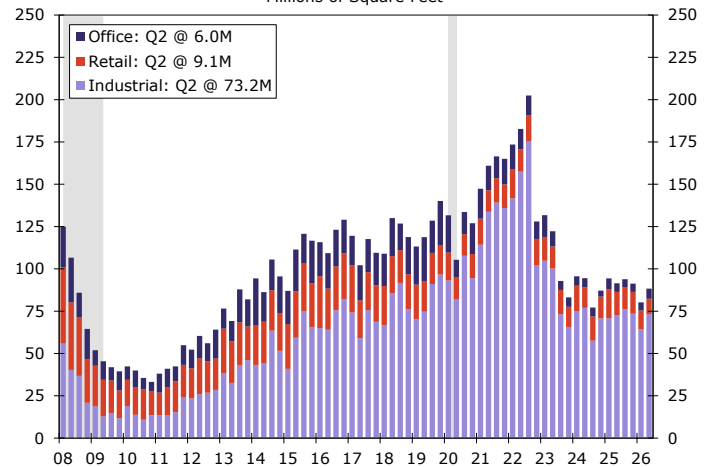
New Homes for Sale at End of Month, Thousands



Source: U.S. Department of Commerce and Wells Fargo Economics

Commercial Construction Starts

Millions of Square Feet



Source: CoStar Inc. and Wells Fargo Economics

Net Exports & Trade

- We've downwardly revised our net exports expectation and look for a widening in the Q2 deficit large enough to shave about a full percentage point off of real GDP growth.

Trade flows remain volatile, but the recent deterioration in the deficit can almost entirely be explained by the surge in high-tech related imports. Just five categories of trade (computers, computer accessories, semiconductors, telecommunications equipment and related electrical apparatus) make up three quarters of the deficit today as the race to build AI capacity causes imports of these goods to far outpace other goods. AI-related demand should keep the deficit wide in coming months, as will a potential pull-forward in demand for imported product as businesses stock up ahead of potential tariff increases in August. Recent reprieve on the tariff front with IEEPA refunds and the move lower in the average effective rate is fleeting as we expect expiring Section 122 rates to be 'replaced' with tariffs under other authorities. In other words, tariff rates should remain roughly where they are now.

Labor Market

- We have made no material changes to our labor market forecast. We expect the job market to remain broadly stable, with payroll growth averaging ~80K per month and the unemployment rate holding near 4.2% for the remainder of the year.

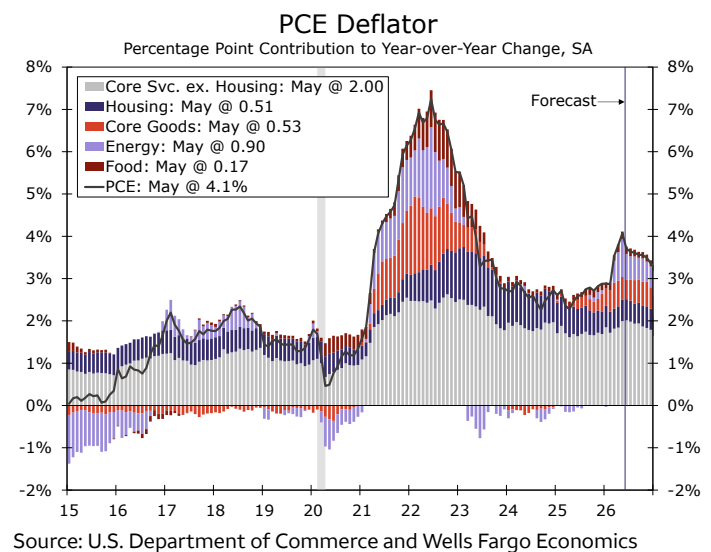
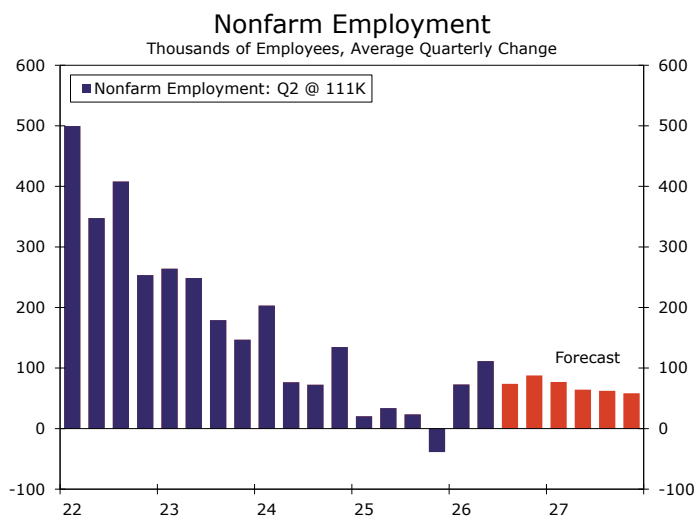
Recent employment reports reinforce our view that the labor market is largely holding steady rather than reheating. Job openings have not shown convincing improvement and small business hiring plans have pulled back since the start of the year. Initial jobless claims remain low, suggesting layoffs are not broad-based. The unemployment rate unexpectedly declined in June, but the drop was driven

by a pullback in labor force participation rather than a stronger pace of hiring. Reflecting the lower starting point, we modestly lowered our unemployment rate forecast and now expect it to remain at 4.2% through year-end. While the decline in unemployment did not occur for the “right” reasons, the sideways move in the unemployment rate signals that labor demand and supply are roughly in balance.

Inflation

- We continue to expect core PCE inflation to end 2026 at 3.2% on a Q4/Q4 basis.

While the latest CPI and PPI data hint at a cooling inflation backdrop, several supply-side factors are likely to keep inflation elevated. The recent rebound in oil prices comes as earlier increases in energy and transportation costs are still working their way through supply chains. Meantime, robust demand tied to the AI build-out has put upward pressure on computer software & accessories prices, a category with a larger weight in the PCE than in the CPI. Prices for many tariff-sensitive goods have declined in recent months, but we do not expect the pace of decline to persist as the effects of the initial tariff shock fade. Shelter inflation continues to cool, although the scope for further moderation is diminishing in this category too. Taken together, inflation pressures remain largely confined to a handful of categories experiencing various forms of shocks, which will make it hard for material progress in lowering inflation to resume in the near term.



Fiscal Policy

- Our FY 2026 and FY 2027 budget deficit forecasts are essentially unchanged at \$1.98 trillion (6.1% of GDP) and \$2.0 trillion (5.9% of GDP), respectively.
- Federal employment cuts seem to be winding down: federal government payroll growth has averaged +1K over the past three months, the first time this measure has been positive during Trump 2.0. We expect this pace of very modest growth to continue in the months ahead.

Chatter has picked up about a possible budget reconciliation "3.0." As a reminder, budget reconciliation is the privileged Congressional process by which the Senate filibuster can be circumvented for certain budget-related bills. As we wrote in a report earlier this year, we are skeptical that another stimulative budget reconciliation bill is going to become law in this Congress. If one does become law, we doubt it will be as big or as macroeconomically meaningful as the One Big Beautiful Bill Act from last year. We suspect the fiscal portion would be limited in scope, with a modest boost to defense spending, possibly a bit more here and there on spending cuts/increases, and not much else.

We also have started to get questions about the debt ceiling outlook. It is still very early in this process, but based on what we know now, our projections show the debt ceiling being hit sometime in the February/March 2027 window, with the "X date", i.e., the date on which Treasury would be unable to meet all of its obligations in full unless the debt ceiling was raised or suspended, probably falling sometime in the fourth quarter of next year.

Monetary Policy & Interest Rates

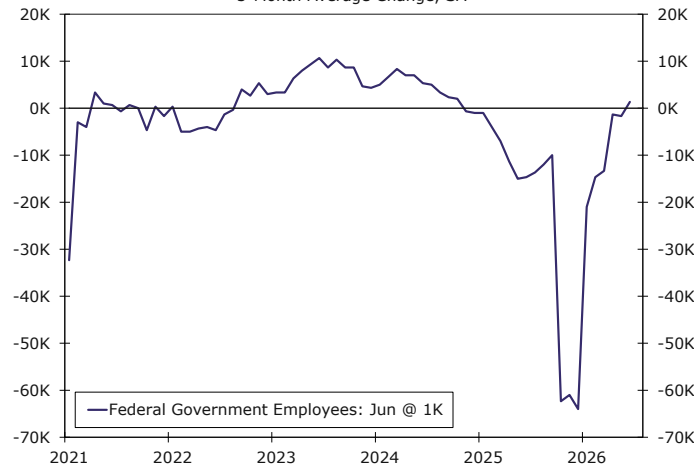
- Our fed funds forecast remains unchanged, as we continue to look for the FOMC to keep the fed funds rate steady through year-end 2027 at 3.50%-3.75%. Our forecasts for the 10-year Treasury yield at year-end 2026 and 2027 are also unchanged at 4.35% and 4.30%, respectively.

Fed communication has made clear that the bar to hike rates is not high. Governor Waller's [speech on July 14](#) revealed that he wants to see "several months of lower readings to feel that inflation is moving in the right direction." But, not all the heavy hitters at the Fed sound as hawkish: FRBNY President John Williams continues to [characterize policy](#) as "well positioned" to bring inflation back to 2%.

If the worst of the energy and tariff supply shocks are truly behind us (a big if, we know), and if the labor market is not overheating (we don't think it is), we think there is a path for the Fed to remain patient, keep the policy rate unchanged, and await softer inflation readings in the months ahead. Accordingly, we look for the yield curve to bull steepen modestly as the market's rate hike expectations are slowly dialed back in the month ahead.

Federal Government Employment

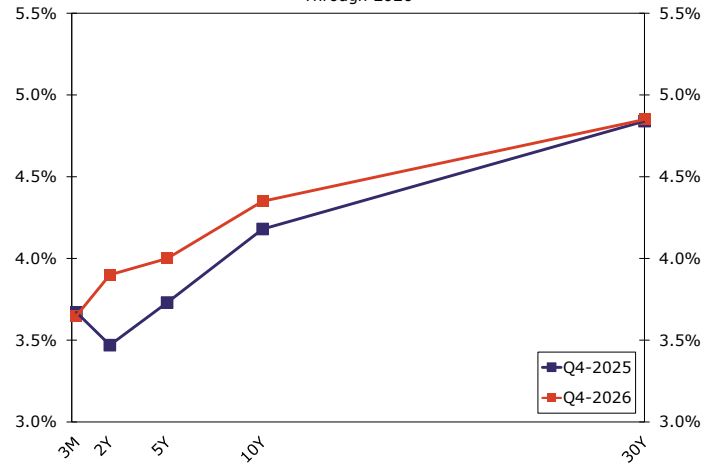
3-Month Average Change, SA



Source: U.S. Department of Labor and Wells Fargo Economics

Wells Fargo Treasury Yield Forecast

Through 2026



Source: U.S. Department of the Treasury and Wells Fargo Economics

International Developments

- We have raised our global GDP growth forecast to 2.7% this year, and have trimmed our global CPI inflation forecast by two-tenths to 4.3% to reflect a modestly lower average oil price path.

The conflict in the Middle East continues to be a large driver of global growth trends, though headwinds from the conflict are being partially offset by resilient AI-driven activity, namely in the U.S., Australia and Japan, causing us to modestly lift our growth profile for this year and next. At the same time, even as prices remain volatile and well above pre-war levels, we look for global inflation to recede in coming months and average 3.8% in 2027.

Central banks are attempting to look through the supply-driven inflation shock, aiming to maintain, rather than add to, policy restriction amid lingering growth concerns and existing slack that should help to keep price pressures from becoming entrenched. In some cases that still implies nominal rate increases to preserve broadly steady real rates. We expect final hikes from the European Central Bank, the Reserve Bank of Australia and the Bank of Japan, and potentially the start of a short hiking cycle from the Bank of England, where the Ofgem price cap has delayed some of the pass-through of the recent spike in energy prices. Others, like the Bank of Canada, however, are more likely to hold rates steady as they determine whether commodity-driven price increases begin to feed more meaningfully into underlying inflation.

Among emerging market economies, policy is more divergent. We expect further easing from the People's Bank of China as domestic demand remains soft, Brazil's central bank to continue cutting as inflation moderates, tightening from the Reserve Bank of India and Banxico to remain on hold.

Wells Fargo International Economic Forecast

	GDP				CPI			
	2024	2025	2026	2027	2024	2025	2026	2027
Global (PPP Weights)	3.4%	3.1%	2.7%	2.9%	5.8%	3.6%	4.3%	3.8%
Advanced Economies ¹	1.8%	1.9%	1.6%	1.8%	2.6%	2.7%	3.2%	2.3%
United States	2.8%	2.1%	2.1%	2.2%	3.0%	2.7%	3.2%	2.1%
Eurozone	0.9%	1.4%	0.6%	1.2%	2.4%	2.1%	3.2%	2.3%
United Kingdom	1.1%	1.3%	1.0%	1.1%	2.5%	3.4%	3.6%	2.9%
Japan	-0.2%	1.1%	0.6%	0.7%	2.7%	3.2%	2.2%	2.1%
Canada	2.0%	1.9%	0.8%	1.9%	2.4%	2.1%	3.2%	2.8%
Australia	1.0%	2.0%	1.9%	1.9%	3.2%	2.9%	4.3%	3.0%
Developing Economies ¹	4.5%	3.9%	3.5%	3.6%	8.0%	4.3%	5.0%	4.9%
China	5.0%	5.0%	4.5%	4.3%	0.2%	0.1%	1.2%	1.1%
India	6.7%	7.5%	6.9%	7.2%	4.6%	2.2%	4.6%	4.6%
Mexico	1.4%	0.7%	0.7%	1.8%	4.7%	3.8%	4.3%	4.3%
Brazil	3.4%	2.6%	2.0%	1.9%	4.4%	5.0%	4.7%	4.0%

Forecast as of: July 16, 2026

¹Aggregated Using PPP Weights

Source: International Monetary Fund and Wells Fargo Economics

Wells Fargo International Interest Rate Forecast

(End of Quarter Rates)

	Central Bank Key Policy Rate						
	2026			2027			
	Current	Q3	Q4	Q1	Q2	Q3	Q4
United States	3.75%	3.75%	3.75%	3.75%	3.75%	3.75%	3.75%
Eurozone ¹	2.25%	2.50%	2.50%	2.50%	2.50%	2.50%	2.50%
United Kingdom	3.75%	3.75%	4.00%	4.00%	3.75%	3.75%	3.75%
Japan	1.00%	1.00%	1.25%	1.25%	1.25%	1.25%	1.25%
Canada	2.25%	2.25%	2.25%	2.25%	2.25%	2.25%	2.25%
Australia	4.35%	4.60%	4.60%	4.60%	4.60%	4.35%	4.35%
China ³	9.00%	9.00%	8.50%	8.50%	8.00%	8.00%	8.00%
India	5.25%	5.25%	5.50%	5.75%	5.75%	5.75%	5.75%
Mexico	6.50%	6.50%	6.50%	6.50%	6.50%	6.50%	6.50%
Brazil	14.25%	14.25%	13.75%	13.25%	12.75%	12.25%	11.75%
	2-Year Note						
	2026			2027			
	Current	Q3	Q4	Q1	Q2	Q3	Q4
United States	4.16%	4.00%	3.90%	3.90%	3.85%	3.85%	3.80%
Eurozone ²	2.76%	2.70%	2.65%	2.60%	2.60%	2.55%	2.55%
United Kingdom	4.33%	4.20%	4.10%	4.00%	3.95%	3.85%	3.80%
Japan	1.44%	1.50%	1.55%	1.55%	1.55%	1.55%	1.60%
Canada	2.82%	2.75%	2.65%	2.60%	2.55%	2.55%	2.50%
	10-Year Note						
	2026			2027			
	Current	Q3	Q4	Q1	Q2	Q3	Q4
United States	4.57%	4.40%	4.35%	4.35%	4.30%	4.30%	4.30%
Eurozone ²	3.14%	3.15%	3.10%	3.10%	3.05%	3.05%	3.00%
United Kingdom	4.96%	4.95%	4.90%	4.85%	4.80%	4.75%	4.70%
Japan	2.72%	2.75%	2.80%	2.85%	2.85%	2.90%	2.90%
Canada	3.53%	3.50%	3.45%	3.45%	3.40%	3.40%	3.40%

Forecast as of: July 16, 2026

¹ ECB Deposit Rate ² German Government Bond Yield ³ Reserve Requirement Ratio Major Banks

Source: Bloomberg Finance L.P. and Wells Fargo Economics

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